

25STCV36474 25STCV36474

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Case Number: 25STCV36474 Hearing Date: September 22, 2026 Dept: 506

SUPERIOR
COURT OF THE STATE OF CALIFORNIA

FOR THE
COUNTY OF LOS ANGELES - CENTRAL DISTRICT

FRANK NAVA,

Plaintiff,

vs.

AMERICAN HARTFORD GOLD LLC,

Defendant.

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CASE NO.: 25STCV36474

[TENTATIVE] ORDER GRANTING MOTION TO COMPEL
ARBITRATION

Dept. 506

8:30 a.m.

September 22, 2026

On December 15, 2025, Plaintiff
Frank Nava filed this action against Defendant American Hartford Gold LLC, and on
February 23, 2026, he filed a first amended complaint.

On
March 27, 2026, Defendant filed a motion to compel arbitration.

EVIDENTIARY
OBJECTIONS

Defendant's
objections to the Declaration of Frank Nava are overruled.

Plaintiff's
untimely September 17, 2026 objections to the Declaration of William Baecker are
overruled.

Plaintiff's
September 17, 2026 "Response to Defendant's Objections" is STRICKEN as an unauthorized

attempt at a sur-reply.

DISCUSSION

When seeking to compel arbitration of a plaintiff's claims, the defendant must allege the existence of an agreement to arbitrate. (Condee v. Longwood Management Corp. (2001) 88 Cal.App.4th 215, 219.)

The burden then shifts to the plaintiff to prove the falsity of the agreement. (Ibid.) After the Court determines that an agreement to arbitrate exists, it then considers objections to its enforceability. (Ibid.)

The Court must grant a petition to compel arbitration unless the defendant has waived the right to compel arbitration or if there are grounds to revoke the arbitration agreement. (Ibid.; Code Civ. Proc., § 1281.2.) Under California law and the Federal Arbitration Act, an arbitration agreement may be invalid based upon grounds applicable to any contract, including unconscionability, fraud, duress, and public policy. (Sanchez v. Western Pizza Enterprises, Inc. (2009) 172 Cal.App.4th 154, 165-166.)

A. Defendant Has Shown the Existence of an Arbitration Agreement with a Delegation Clause.

On April 12, 2022, Plaintiff signed a Shipping and Transaction Agreement that contained a dispute resolution provision. (Baecker Decl., Ex. A at p. 4, § 12 ["Arbitration Agreement"].) The parties agreed to arbitrate "[a]ny dispute, claim, or controversy arising out of this Agreement or otherwise between AHGG and the Customer, including but not limited to the breach, termination, enforcement, interpretation, or validity of this Agreement and the scope and applicability of the agreement to arbitrate contained in this paragraph."

Under California law, for a delegation clause to be effective, the language of the clause must be clear and unmistakable, and the delegation must not be revocable under state contract defenses such as fraud, duress, or unconscionability. (Aanderud v. Superior Court (2017) 13 Cal.App.5th 880, 892.) An unconscionability challenge must be specifically directed at the delegation provision, not the entire arbitration agreement. (Id. at p. 895.)

In

the Agreement here, the parties agreed to arbitrate “[a]ny dispute, claim, or controversy,” including disputes about the “enforcement, interpretation, or validity of this Agreement and the scope and applicability of the agreement to arbitrate contained in this paragraph.” This is a clear and unmistakable delegation of those issues.

Defendant

has satisfied its burden of showing the existence of an agreement to arbitrate, and that agreement contains a delegation clause.

Plaintiff

argues that another section contains a conflicting provision: “In the event any term, condition or provision of this agreement is found void, voidable or unenforceable for any reason by a tribunal of competent jurisdiction, such term, condition or provision shall, if and to the extent possible, be construed as though more narrowly drafted to make it enforceable.” (Opposition at p. 4.)

“Where

. . . a contract includes a severability clause stating a court of competent jurisdiction may excise an unconscionable provision, there is no clear and unmistakable delegation to the arbitrator to decide if the arbitration agreement is unconscionable.” (Dennison v. Rosland Capital LLC (2020) 47 Cal.App.5th 204, 209-210.) To distinguish this agreement from the ones in Plaintiff’s cited cases, where the provisions referred to a “court” or “trier of fact,” Defendant notes the existence of an “arbitral tribunal.” (Reply at pp. 1-2 [citing Code Civ. Proc., § 1297.21].)

The

Court is inclined to grant the motion on the grounds that there is an enforceable delegation clause. However, for the avoidance of all doubt, the Court will also make a determination on unconscionability.

B. There Is No Procedural Unconscionability.

For

an arbitration agreement to be unenforceable as unconscionable, both procedural and substantive unconscionability must be present. (Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 114.)

“[T]he more substantively oppressive the contract term, the less evidence

of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (Ibid.)

“The

relevant factors in assessing the level of procedural unconscionability are oppression and surprise.” (Orcilla v. Big Sur, Inc.

(2016) 244 Cal.App.4th 982, 997.) “The oppression

component arises from an inequality of bargaining power of the parties to the contract and an absence of real negotiation or a meaningful choice on the part of the weaker party.” (Abramson v. Juniper Networks,

Inc. (2004) 115 Cal.App.4th 638, 656.)

“The circumstances relevant to establishing oppression include, but are not

limited to (1) the amount of time the party is given to consider the proposed contract;

(2) the amount and type of pressure exerted on the party to sign the proposed contract;

(3) the length of the proposed contract and the length and complexity of the challenged

provision; (4) the education and experience of the party; and (5) whether the party's

review of the proposed contract was aided by an attorney.” (Grand Prospect Partners, L.P. v. Ross Dress

for Less, Inc. (2015) 232 Cal.App.4th 1332, 1348, fn. omitted.) “The component of surprise arises when the challenged

terms are ‘hidden in a prolix printed form drafted by the party seeking to enforce

them.” (Ibid.)

Plaintiff

argues that there is “a high level of procedural unconscionability” because he “not

have experience in buying precious metals, did not have an attorney assist him in

his review, was rushed through his review of the contract by AHG representatives,

and was told to invest because ‘the U.S. dollar was going to collapse.’” (Opposition at p. 5; see id. at pp. 10-11.) Plaintiff also argues that he “was economically

vulnerable having been injured and no longer working at his job,” citing Sanchez

v. Superior Court (2025) 108 Cal.App.5th 615. (Opposition at pp. 5-6.) The Sanchez court found “a substantial

amount of oppression” when the individual “was presented with the preprinted retainer

agreement containing the arbitration agreement on a ‘take it or leave it basis’;

he was in danger of losing his home and had driven from Bakersfield to Costa Mesa

to meet with an attorney for help; he has a 6th-grade education in Mexico, no education

in the United States and very limited English language skills; and he was not advised

to seek an attorney to review the agreement, nor provided the time to have an attorney

review the document.” (Sanchez, supra,

108 Cal.App.5th at p. 626.) He also had

“limited English skills, but the arbitration agreement was wholly in English, and

no one provided a translation or explanation in Spanish. He also was not given time to review the agreement

before signing it.” (Ibid.)

There

is no such oppression here. Plaintiff saw Defendant's advertisement on a YouTube channel and reached out to Defendant to learn more about a precious metal IRA. (Nava Decl. ¶ 5.) He was told he "should make this purchase 'quickly' because the U.S. dollar was going to collapse" and Defendant "did not explain what [Plaintiff] was buying." (Nava Decl. ¶ 5.) Plaintiff electronically signed the agreement but "was rushed through the process and they made [him] feel as though [he] had to sign right then and there." (Nava Decl. ¶ 6.) As Defendant observes, this pressure is subjective and conclusory; Defendant did not impose any deadline, refuse him time to review the terms, or tell him the offer would be withdrawn if he did not sign immediately. (See Reply at pp. 4-7.)

Plaintiff

has not shown any procedural unconscionability.

C. After Severing, There Is No Substantive Unconscionability.

Even

if the Arbitration Agreement was a contract of adhesion and there was slight procedural unconscionability, Plaintiff has not shown any substantive unconscionability.

"Substantive

unconscionability pertains to the fairness of an agreement's actual terms and to assessments of whether they are overly harsh or one-sided. [Citations.] A contract term is not substantively unconscionable when it merely gives one side a greater benefit; rather, the term must be "so one-sided as to 'shock the conscience.'" [Citation.]" (Carmona v. Lincoln Millennium Car Wash, Inc. (2014) 226 Cal.App.4th 74, 85.)

Plaintiff

argues that the Arbitration Agreement is substantively unconscionable due to the limitation of liability clause, which "explicitly bars Nava from being awarded 'incidental' damages but permits AHG being awarded the same." (Opposition at p. 7.) Under the Shipping and Transaction Agreement, Defendant has no liability "for any indirect, incidental, economic, non-economic, or consequential damages sustained, relating to, or arising from any transaction

hereunder.” (Baecker Decl., Ex. A at p. 4, § 10 [formatting omitted].) On the other hand, if Plaintiff were to breach the agreement by failing to pay or not accepting delivery, Defendant “shall be entitled to recover from Customer the difference between the contract price and resale price, plus all incidental damages resulting from Customer’s breach.” (Baecker Decl., Ex. A at p. 1, § 2(B).) This is one-sided and substantively unconscionable, and the Court severs this provision under the Severability and Integration clause. (See Baecker Decl., Ex. A at p. 5, § 14.)

Plaintiff

argues that the one-year statute of limitations, instead of the statutory three-year or four-year limitations, is substantively unconscionable. (Opposition at pp. 8-9.) But in Plaintiff’s cited cases, the shortened limitations period applied only to the consumer. Here, “any claim or legal proceeding hereunder shall be filed within one year of its accrual,” and it is not limited to only Plaintiff’s claims. (Baecker Decl., Ex. A at p. 5, § 12 [formatting omitted]; see Reply at p. 8.)

Plaintiff

argues that the pre-dispute jury trial waiver “is contrary to California law.” (Opposition at p. 9.) But “arbitration involves a waiver of the right to a jury trial.” (Prima Donna Development Corp. v. Wells Fargo Bank, N.A. (2019) 42 Cal.App.5th 22, 35.) “Requiring that a claim be resolved by a jury (and, therefore, rejecting the possibility that it could be decided by an arbitrator) is plainly incompatible with arbitration,” and such a waiver does not make an arbitration agreement unconscionable. (Id. at p. 44.) Plaintiff’s cited cases involved a waiver of jury trial for claims where arbitration was not allowed. (See Opposition at p. 9.)

Plaintiff

argues that his “claims for public injunctive relief under the UCL and CLRA cannot, under any circumstance, be compelled to arbitration.” (Opposition at p. 11.) The Court will stay these claims while the parties arbitrate the other claims.

After

severing the provision about prohibiting Plaintiff’s recovery of incidental damages, there is no substantive unconscionability, and the Arbitration Agreement should not be invalidated.

CONCLUSION

The
motion to compel arbitration is GRANTED.
Plaintiff's second, third, fourth, and seventh causes of action are to be
arbitrated.

The
entire action is STAYED pending the conclusion of the arbitration.

A
Status Conference re: Arbitration is scheduled for September 23, 2027 at 8:30 a.m.
in Department 506 at Stanley Mosk Courthouse.
Five court days before, the parties are to file a joint report stating the
name of their retained arbitrator and the status of arbitration.

Moving
party to give notice.

Parties
who intend to submit on this tentative must send an email to the Court at SMCDEPT506@lacourt.ca.gov
indicating intention to submit. If all parties
in the case submit on the tentative ruling, no appearances before the Court are
required unless a companion hearing (for example, a Case Management Conference)
is also on calendar.

Dated this 22nd day of September 2026

Hon. Thomas D. Long

Judge of the Superior
Court